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Primary Auction Note – April 2021

In March, Central Bank of Kenya opened an infrastructure bond **IFB1/2021/18** in a bid to raise **60 Billion**. The coupon rate for the bond is Market determined. The period of sale for the bond runs from **26/03/2021** to **06/04/2021.** The **IFB1/2021/18** bond will be tax free.

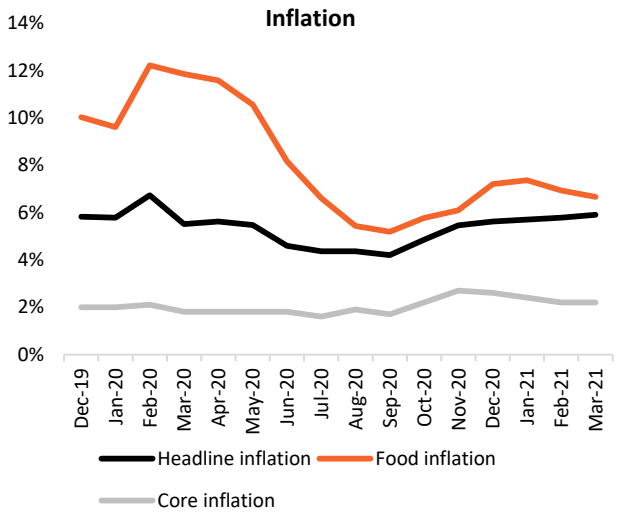
Investors' are likely to be attracted to the tax free bond: In the current market environment, investors interest remains on the short end of the yield curve. We, however, expect subscription rates on the IFB1/2021/18 to remain high due to the tax free nature of the bond.

We advise investors to bid within the range of **12.45%** to **12.65%** for the **IFB1/2021/18.**

Secondary Bond Market:

In March, the secondary market activity decreased. Turnover in March, declined by **12.6%** to **KES 64.81Bn ($591.80Mn)** from **KES 74.12Bn ($675.05Mn)** witnessed in February.

March Inflation:



In March, Headline Inflation increased to **5.90%** from **5.78%** in February. The CPI increased by **0.40%** from **113.37** in February to **113.81** in March. This increase occurred on the back of a rise in food and fuel prices.

Headline inflation is likely to increase on the back of higher food and fuel prices. Food prices are expected to edge higher due to the unfavorable weather conditions while increased economic activity has exerted upward pressure on global oil prices.

April 1, 2021

RECOMMENDATION:

18.0- Year IFB1/2021/18

Bid 12.45% to 12.65%

Period of Sale: 26/03/2021 to 06/04/2021.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI:
(2019=100):
113.81

March Inflation:
5.90%

Interbank rate (31st March 2021):
5.55%

C.B.R (29th March 2021):
7.00%

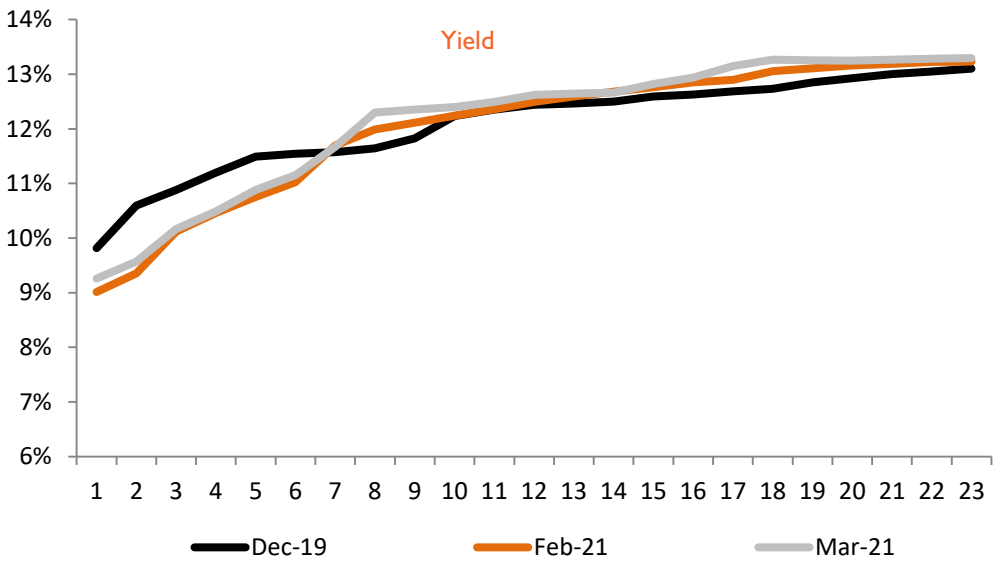
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Interbank

Money market remained relatively liquid during the month of March. The interbank rate increased from 5.09% as of 5th of March to 5.55% as of 31st of March.

During the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth.

NSE Yield Curve



The yield curve remained relatively unchanged during the month. Given the government's high appetite for debt, we expect a slight increase in short term rates as the government accepts aggressive bids.

Currency:

During the month, the Kenya Shilling appreciated **0.26%** against the greenback. On the 31st of March, the KES closed at a value of **KES 109.51/$** versus the **KES 109.80/$** witnessed at the end of February. The continued appreciation of the KES is likely to reduce the cost of imports while encouraging investments within the country.

CBK's usable foreign exchange reserve decreased to **USD 7.35 billion** in March from **USD 7.61 billion** at the end of February, representing a decrease to **4.51 months** of import cover from **4.67 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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